Basic Principles of Public Procurement

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What is procurement

- Car
- Tutor
- House
- What do you look for?
  - Quality
  - Price
  - Capacity
- Combination of these can be called ‘value for money’
- Competition is one important means to get value for money
  - Vegetable market example

What is PUBLIC procurement

- Government / PSU
- Why is it different? Don’t we need Value for money?
- Yes—old financial code principle
  - “Every officer in expenditure of public funds shall use the same degree of prudence which he would have used in the expenditure of his own funds”
- But needs something more
- Fairness
  - Using public money, not your own
  - Equality before law—no arbitrariness
- What are means to achieve fairness
  - Good procedures
  - Transparency (less important, has drawbacks also)

Basic Principles

- Value for Money (usually through competition)
- Fairness (through good procedures and transparency)
- Both are very important
- Value without fairness—can get you into trouble
- Fairness without value—poor quality, inefficiency (common in Government)
- Don’t go to either extreme

Stages in Procurement

- Identification (need for car)
- Solicitation (go to dealers and get quotations)
- Evaluation (compare prices and terms)
- Decision (choose which car / dealer)
- Contract finalisation (Sign and pay)
- Contract management (after sales service / warranty)

Types of Procurement

- Goods
- Works
- Services

Methods of Procurement

- Single Source / Nomination
- Comparative Quotations / Shopping
- Limited Tender
- Open Tender / Competitive Bidding
  - Single stage
  - Two cover/ three cover
  - Multi stage
  - Quality-cum-Cost Based Selection (QCBS)
  - Local/ National/ International
- Reverse auction (often online)

Which method to choose? Why?

- Factors involved
  - Value of procurement
  - Cost of procurement process
  - Time involved in procuring
  - Time constraint (e.g urgency)

General Principle

- Cost of tendering etc. is fixed, while saving from competition is proportional to value
- In low value items, cost of procurement (advertising cost, paper, time of staff etc.) may exceed saving from greater competition
- Hence, <u>higher the value, more competitive and transparent the method</u>
- Usually limits will be prescribed through rules/ guidelines for
  - comparative quotation
  - limited tender
  - Open tender
- Other things being equal, lowest tender (L1) is chosen in tenders
  - But rare exceptions may be possible
  - Very important to record cogent and valid reasons

Single source/ Nomination –Why? When?

- When competition is either not feasible or in rare cases where it is not practicable (e.g time constraint, disproportionate cost vs. benefit)
- Should be decided only with great caution
- Examples
  - Proprietary item (e.g. spare part, special drug)
  - Unique expertise
  - Continuation of previous task—additional work
  - Other exceptional reasons (e.g. emergency)
- Government guidelines may permit nomination of PSUs (they may use tender)

Key Element of Fairness in Tenders—No change in rules in the middle of the 'game'

- Do not change specifications, payment terms etc. without equal opportunity to all potential tenderers/ competitors (50 over vs. 25 over match)
- Only 'responsive' (compliant) bids should be considered
- Avoid ambiguous specifications
- Changes after receipt of bids are almost always bad
  - <u>non-bidders may be affected</u> even if all bidders are agreeable
- In complex tenders, have pre-bid meetings and give formal clarifications to bidders and put on website.

Quality cum Cost Based Selection (QCBS)

- Generally used for procuring services—in rare case could also be used for goods where quality is crucial
- Weights given for technical / financial (say 70/30)
- Marks given for technical and financial separately, often with minimum cut-off in each
- Combined marks are taken and responsive bid with highest mark (H1) is accepted

Sources of Procedures / Rules

- General Financial Rules (GFR) and model documents in Govt. of India
- Acts and Rules in certain states (TN and Karnataka)
- Codes, Government orders, guidelines etc. in other cases
- World Bank/ ADB procedures where financed by them

Thank you